SIMULATION REPORT

Dual-Perspective Analysis — October 10, 2025

📅 February 2026 📊 Case Study: MEV Capital USDC Vault 🔗 Morpho Blue · Ethereum

🐂 Rhino — Curator Defence | 🦅 Hawk — Opportunistic Extraction

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DELIVERABLE 1

Incident Memo

Situation

On October 10, 2025 at ~21:15 UTC, a flash crash triggered by Trump's 100% China tariff announcement liquidated **$19 billion** in leveraged positions across crypto. BTC fell from $122,000 to $105,000 (-14%). Alts dropped 30–60%. Order-book depth collapsed >90%. Ethereum mainnet gas spiked above 500 gwei. USDe depegged to $0.65 on Binance. 1.62 million trader accounts were liquidated in 14 hours, peaking at $10.39B/hour.

Morpho held **~$6.7B TVL** ($10.2B deposits) at the time of impact. The October crash itself did not produce a publicly documented Morpho bad debt event. The closest confirmed case — used as the primary case study throughout this report — is the **MEV Capital USDC Vault** bad debt event from **November 2025**, which involved structurally identical failure modes (stablecoin depeg, oracle failure, liquidation impossibility). All October 10 market data (prices, gas, liquidation volumes) is factual. The bad debt case study specifics are factual from November 2025.

Bad Debt Event — MEV Capital USDC Vault

	ETHEREUM	ARBITRUM
Vault	0xd63070114470f685b75B74D60EEc7c1113d33a3D	0xa60643c90A542A95026C0F1dbdB0615fF42019Cf
Curator	MEV Capital	MEV Capital
Bad Debt Market	sdeUSD/USDC (Elixir) + xUSD/USDC (Stream Finance)	sdeUSD/USDC (Elixir)
Depositor Haircut	3.5%	12%
xUSD Bad Debt	~$700K	Unknown
Root Cause	Elixir retired deUSD with no recovery → sdeUSD lost 99.8% → collateral worthless → unrecoverable bad debt	

Counter-example: Gauntlet USDC Balanced Vault reported **zero bad debt**, gained **35% TVL** (flight-to-quality), and processed $42.8M in withdrawals (40% of pre-stress TVL) without issues. Liquidity compression resolved in ~6 hours via IRM rate spike.

🐂 Rhino — Curator Actions

STATUS	ACTION
✅	sdeUSD/USDC market removed from vault allocation queue
✅	Vault isolated — no new deposits to affected markets
✅	Supply caps reduced on all remaining non-blue-chip collateral markets
✅	Depositor communication: factual, numbers-first, within 60 minutes
⏳	Creditor resolution with Elixir (USDC compensation process announced)
⏳	Post-mortem: max LLTV 90%→80% for stablecoin pairs, multi-oracle for non-top-10 stablecoins, circuit breaker at >10% depeg
❌	Asset injection NOT recommended at 3.5% — socialise as designed (moral hazard)

🦅 Hawk — Opportunity Actions

STATUS	ACTION	EST. P&L
✅	Liquidated profitable underwater positions during cascade (Flashbots bundles, 500 gwei filtered retail)	$15–50K
✅	Supplied USDC to stressed healthy markets at 100%+ APR (IRM emergency)	$5–30K/wk
✅	Accumulated depressed vault shares at 5–15% discount to post-haircut NAV	$5–50K
✅	Deposited into Gauntlet USDC Balanced (flight-to-quality, +35% TVL)	$25–80K ann.
✅	Scanning all 320 MetaMorpho vaults for next curator with exotic stablecoin exposure	—
	Total (on $1M deployed, 2-week horizon)	**$50K–$200K**

Monitoring Priority (Both Roles)

CADENCE	RHINO WATCHES	HAWK WATCHES
Block-by-block	Liquidation events, oracle freshness, gas price	Pending liquidation txs, oracle heartbeat gaps
Every minute	Top 50 position health factors, stablecoin pegs	CEX-DEX spreads >2%, HF <1.02 targets
Every 5 min	Vault share price, per-market utilisation vs 95%	Vault share discount to NAV, IRM rate spikes
Every 15 min	Vault TVL flows, bridge outflows (L2→L1)	Funding rate reversals, new vault launches
Hourly	Cumulative bad debt, liquidator bot census	P&L accounting, rate farm APR decay
Daily	Governance proposals, curator reallocations	Next target scan (320 vaults, exotic exposure)

Key Findings

The protocol architecture worked as designed: market isolation contained the blast radius, bad debt was socialised per-market (not protocol-wide), and the IRM drove utilisation recovery within hours. What failed was **curation** — accepting a 99.8%-depegable wrapped stablecoin derivative (sdeUSD) as collateral in a USDC vault. The competitive pressure of 320 curators fighting for TVL created a race to the bottom on collateral quality. The architecture is sound; the risk management layer is where both defence and exploitation happen.

DELIVERABLE 2

Opportunist Playbook

Play 1: Liquidation Sniping During Gas Spike

The trade. Liquidate underwater Morpho Blue positions when gas prices have eliminated 80%+ of competing liquidation bots. Morpho's liquidation incentive (5–15% collateral discount) is paid per-market regardless of gas. A $500K liquidation at 10% bonus = $50K gross profit, still massively profitable at $2–5K gas cost.

The edge. Retail bots use public mempool and can't justify $2K+ gas per liquidation. You use Flashbots bundles via `mev-boost` relay, targeting only positions >$100K where the incentive/gas ratio exceeds 10×. Flash loans from Aave eliminate capital requirements — borrow USDC, liquidate on Morpho, sell seized collateral on Uniswap, repay Aave, pocket the spread, all atomic in one tx.

Execution steps:

1. Monitor `Morpho.sol` at `0xBBBBBBBBBB9cc5e90e3b3Af64bdAF62C37EEFFCb` — track all positions where `borrowValue / (collateralValue × LLTV) > 0.98`
2. When gas >300 gwei, switch to Flashbots bundles with priority fee at 2× base fee
3. Call `Morpho.liquidate(MarketParams, borrower, seizedAssets, 0, bytes(""))` bundled with collateral sale on Uniswap/Curve
4. Target altcoin-collateral markets first — fewer specialised bots, higher LLTV = larger incentives

Capital	Gas Cost
$200K–1M or flash loans	**$2–5K per liquidation at 500 gwei**

WHAT KILLS IT

Other sophisticated searchers running identical strategy. Oracle hasn't updated — position isn't technically liquidatable despite being underwater. Seized collateral too illiquid for atomic sale. Market moves further against you between bundle submission and inclusion.

Play 2: Vault Share Discount Capture

The trade. MEV Capital USDC Vault at `0xd63070114470f685b75B74D60EEc7c1113d33a3D` took a 3.5% bad debt haircut (ETH). Post-haircut intrinsic value: ~$0.965 per share. Panic withdrawals push share price to $0.90–0.95 — a 2–7% discount to actual NAV. Buy the discount, wait for convergence.

The edge. Information asymmetry. The 3.5% haircut is the real loss. The additional 2–7% discount is fear premium. If the remaining markets are healthy (WETH/USDC, WBTC/USDC — they are), the share price converges back to $0.965+ within 1–2 weeks. If ERC-4626 shares trade on a DEX secondary pool at deeper discount than on-chain redemption, the arb is even cleaner.

Execution steps:

1. Monitor vault share price: `vault.convertToAssets(1e18)` vs theoretical NAV
2. If discount exceeds 6%, accumulate via `vault.deposit(assets, receiver)` or buy on DEX secondary
3. Hold 1–2 weeks. Exit via `vault.withdraw()` or sell when discount <1%

Capital	Gas Cost
$100–500K USDC	**$10–50 per deposit/withdraw**

WHAT KILLS IT

Hidden bad debt in other markets — another haircut compounds losses. Vault utilisation at 100% for weeks — capital locked. Curator fails to remove risky markets, takes a third hit, vault abandoned.

Play 3: IRM Rate Farming

The trade. Supply USDC directly into Morpho Blue markets (not vaults — go direct to select your markets) experiencing >95% utilisation. The IRM pushes borrow rates to 190%+ APR during stress; supply-side rates follow proportionally.

The edge. You choose which markets to supply into. Filter for healthy collateral only (WETH, WBTC, stETH) — these are stressed from macro-driven withdrawals, not collateral failure. Borrowers are solvent but illiquid. They'll deleverage over 2–7 days. You earn 50–190% APR for the duration.

Execution steps:

1. Read `market.totalBorrowAssets / market.totalSupplyAssets` on-chain — target >90%
2. Filter: only WETH/USDC, WBTC/USDC, stETH/USDC markets. Reject exotic collateral.
3. Supply USDC: `Morpho.supply(MarketParams, assets, 0, onBehalf, bytes(""))`
4. Hold until utilisation <80%. Withdraw: `Morpho.withdraw(...)`

Capital	Gas Cost
$200K–1M	**$20 per supply/withdraw**

WHAT KILLS IT

Utilisation stays at 100% because borrowers are insolvent, not illiquid — you can't withdraw. Market generates bad debt, your supply takes a haircut. Rate compression happens in hours not days (Gauntlet's lasted only 6 hours).

Adversarial Feedback → Rhino

1. **Oracle heartbeat sniping.** I monitor every Chainlink oracle your markets use. The instant an oracle update confirms a price drop, I submit my liquidation bundle in the same block. The seconds between oracle heartbeats are my window.

Defence: Pull-based oracles (Pyth, Redstone) that update on every interaction, not push-based with stale heartbeats.

2. **Vault share secondary market arb.** If your vault's ERC-4626 shares trade on any DEX pool, I will buy the panic dip. The 3.5% haircut is the real loss; the extra 5–10% discount is your depositors' information disadvantage.

Defence: Immediate, factual communication. Pre-written templates. No "we are investigating" — give the number.

3. **Weekend curator latency.** The crash was at 21:15 UTC on a weekend. If your team takes 4 hours to respond, I've made my money before you've opened your laptop.

Defence: Automated triggers. If any collateral oracle reports >20% drawdown within an hour, auto-reduce supply cap to zero. No human required.

4. **Cross-vault correlation scanning.** I scan all 320 MetaMorpho vaults for identical market allocations. If three curators share sdeUSD exposure, the cascade is predictable and I can position before the second and third realise they're exposed.

Defence: Publish market allocations transparently. Depositors deserve to assess correlated risk.

5. **IRM exploitation is protocol-aligned.** When I supply at 190% APR during your stress event, I'm adding liquidity your depositors need. This is the one play you shouldn't defend against — the IRM is working as designed. The tension is that I chose the timing and captured the premium; your depositors bore the illiquidity. This is a feature, not a bug.

Defence: None needed. Structural.

DELIVERABLE 3

Dune SQL Query — Bad Debt Event Tracker

Morpho Blue: Bad Debt Events with Market Context & USD Values

```sql
-- ==================================================================
-- MORPHO BLUE: BAD DEBT EVENTS WITH MARKET CONTEXT & USD VALUES
-- ==================================================================
-- Identifies all Morpho Blue liquidation events on Ethereum that
-- resulted in realised bad debt (badDebtAssets > 0). Joins with
-- market creation events for human-readable collateral/loan pairs
-- and with Dune's price feed for USD valuation.
--
-- Contract: Morpho Blue on Ethereum
--   0xBBBBBBBBBB9cc5e90e3b3Af64bdAF62C37EEFFCb
--
-- TABLE NAME NOTES:
--   Most likely: morpho_blue_ethereum.MorphoBlue_evt_Liquidate
--   Alternatives: morpho_ethereum.Morpho_evt_Liquidate
--   Verify by searching Dune for contract 0xBBBB...FFCB
-- ==================================================================

WITH bad_debt_liquidations AS (
    SELECT
        liq.evt_block_time,
        liq.evt_tx_hash,
        liq.evt_block_number,
        liq.id                                  AS market_id,
        liq."caller"                            AS liquidator_address,
        liq.borrower                            AS borrower_address,
        liq.repaidAssets                        AS repaid_raw,
        liq.seizedAssets                        AS seized_raw,
        liq.badDebtAssets                       AS bad_debt_raw,
        liq.badDebtShares                       AS bad_debt_shares
    FROM morpho_blue_ethereum."MorphoBlue_evt_Liquidate" liq
    WHERE liq.badDebtAssets > 0
      AND liq.evt_block_time ≥ TIMESTAMP '2025-10-01 00:00:00'
      AND liq.evt_block_time <  TIMESTAMP '2025-12-01 00:00:00'
),

-- Market parameters from CreateMarket events
market_params AS (
    SELECT
        cm.id                                   AS market_id,
        cm.marketParams_loanToken               AS loan_token,
        cm.marketParams_collateralToken         AS collateral_token,
        cm.marketParams_oracle                  AS oracle_address,
        cm.marketParams_irm                     AS irm_address,
        cm.marketParams_lltv                    AS lltv_raw
    FROM morpho_blue_ethereum."MorphoBlue_evt_CreateMarket" cm
),

-- Token metadata for human-readable output
token_info AS (
    SELECT contract_address, symbol, decimals
    FROM tokens.erc20
    WHERE blockchain = 'ethereum'
)

SELECT
    bd.evt_block_time                                       AS event_time,
    DATE_TRUNC('hour', bd.evt_block_time)                   AS hour_bucket,
    bd.evt_tx_hash                                          AS tx_hash,
    bd.market_id,
    COALESCE(ct.symbol, 'UNKNOWN')                          AS collateral_symbol,
    COALESCE(lt.symbol, 'UNKNOWN')                          AS loan_symbol,
    mp.lltv_raw / 1e18 * 100                                AS lltv_pct,
    bd.liquidator_address,
    bd.borrower_address,
    bd.repaid_raw / POWER(10, COALESCE(lt.decimals, 18))    AS repaid_amount,
    bd.seized_raw / POWER(10, COALESCE(ct.decimals, 18))    AS seized_amount,
    bd.bad_debt_raw / POWER(10, COALESCE(lt.decimals, 18))  AS bad_debt_amount,
    bd.bad_debt_raw / POWER(10, COALESCE(lt.decimals, 18))
        * COALESCE(lp.price, 1.0)                           AS bad_debt_usd,
    SUM(
        bd.bad_debt_raw / POWER(10, COALESCE(lt.decimals, 18))
        * COALESCE(lp.price, 1.0)
    ) OVER (
        ORDER BY bd.evt_block_time
        ROWS BETWEEN UNBOUNDED PRECEDING AND CURRENT ROW
    )                                                        AS cumulative_bad_debt_usd

FROM bad_debt_liquidations bd
LEFT JOIN market_params mp       ON bd.market_id = mp.market_id
LEFT JOIN token_info ct          ON mp.collateral_token = ct.contract_address
LEFT JOIN token_info lt          ON mp.loan_token = lt.contract_address
LEFT JOIN prices.usd lp
    ON lp.contract_address = mp.loan_token
    AND lp.blockchain = 'ethereum'
    AND lp.minute = DATE_TRUNC('minute', bd.evt_block_time)
ORDER BY bd.evt_block_time DESC;
```

What This Query Does

Filters every Morpho Blue `Liquidate` event on Ethereum where `badDebtAssets > 0` — meaning the liquidation left residual unpaid debt that was socialised across lenders. Joins with `CreateMarket` events to decode market IDs into human-readable collateral/loan pairs and LLTVs. Joins with `tokens.erc20` for symbol/decimal resolution and `prices.usd` for USD valuation. Produces a running cumulative bad debt total for time-series charting.

Schema Notes

Column names (`badDebtAssets` , `badDebtShares` , `repaidAssets` , `seizedAssets`) are taken directly from the Morpho Blue Solidity source. The `CreateMarket` event emits a `MarketParams` struct with fields prefixed `marketParams_` in Dune's decoded output. The `prices.usd` table is Dune's canonical price feed, joined on `contract_address` + `minute` for per-minute granularity.

Extensions

- **Filter to specific vault:** Join with `MorphoBlue_evt_Supply` where `onBehalf` = vault address to identify exposed markets.
- **Liquidator census:** Group by `liquidator_address` to identify most active bots during stress.
- **Utilisation overlay:** Add `totalBorrowAssets / totalSupplyAssets` from `AccrueInterest` events to correlate bad debt with utilisation spikes.

APPENDIX A

Diagnosis (Task A)

A.1 — Three-Layer Metric Framework

PROTOCOL-LEVEL (MORPHO BLUE)

METRIC	WHAT IT TELLS YOU	CRISIS THRESHOLD	SOURCE
Allocation vs actual exposure	Drift from curator targets	>5% drift	`supplyQueue` , `withdrawQueue`
Withdrawal queue depth	Depositor panic	Non-zero = liquidity crunch	Vault contract state
Share price deviation	Bad debt realisation	Sudden >1% drop	`totalAssets() / totalSupply()`
Vault TVL (hourly)	Capital flight	>10%/day outflow = panic	Deposit/withdraw events
Market concentration	Single-point-of-failure	>50% in one market	Vault allocation data

EXTERNAL / MACRO

METRIC	WHAT IT TELLS YOU	CRISIS THRESHOLD	SOURCE
CEX-DEX spreads	Market dislocation	>1% arb; >5% systemic	CoinGecko, DEX pools
Gas price + mempool	Liquidation economics	>200 gwei = small liquidations unprofitable	Etherscan, mempool.space
Stablecoin pegs	Collateral revaluation	>0.5% depeg review; >5% systemic	Curve pool ratios
Liquidator activity	Bot coverage	Declining addresses = bots offline	`Liquidate` msg.sender analysis
Bridge flows	L2 capital flight	Heavy L2→L1	Bridge contracts, DefiLlama
Funding rates	Leverage direction	Deeply negative = reversal signal	CoinGlass, Hyperliquid

VAULT-LEVEL (METAMORPHO)

METRIC	WHAT IT TELLS YOU	CRISIS THRESHOLD	SOURCE
Utilisation per market	Withdrawal liquidity	>90% crisis; >95% IRM emergency (190%+ APR)	`totalBorrowAssets / totalSupplyAssets`
Liquidation volume	Cascade intensity	>$100M/hr = systemic	`Liquidate` event logs
Oracle vs DEX spot	Oracle accuracy	>2% divergence = stale; >5% = false liquidations	Chainlink vs Uniswap `slot0`
Bad debt per market	Unrecoverable loss	Any non-zero = socialisation imminent	`badDebtAssets > 0`
Available liquidity	Withdrawal capacity	<10% of supply = freeze risk	`totalSupply - totalBorrow`
Liquidation incentive	Bot economics	Incentive < gas cost → bots won't act	Market parameters (immutable)
Position health factors	Underwater risk	HF <1.05 = danger; <1.0 = liquidatable	Position-level on-chain
IRM output rate	Stress signal	>100% APR = emergency mode	On-chain rate calculation

A.2 — Monitoring Cadence

CADENCE	METRICS	WHY
Block-by-block	Liquidation events, oracle updates, gas, mempool	Liquidations are atomic. Oracle heartbeats determine when positions become liquidatable.
Every minute	Health factors (top 50), CEX-DEX spreads	HF changes with every oracle update. Spreads show acceleration/stabilisation.
Every 5 min	Vault share price, withdrawal queue, utilisation	Crossing 95% utilisation triggers IRM emergency.
Every 15 min	Vault TVL flows, bridge flows, funding rates	Shows whether crisis is broadening.
Hourly	Cumulative bad debt, liquidator census, pegs	Aggregated damage. Bot census shows recovery.
Daily	Curator reallocations, governance, post-mortem	Strategic cadence. Rebuild is daily.

A.3 — Bad Debt Case Study: MEV Capital USDC Vault

FACTUAL VS ASSUMED

ELEMENT	STATUS	NOTES
October 10 market data (BTC, liquidations, gas, USDe)	Factual	Amberdata, FTI Consulting, CoinGecko
Morpho TVL $6.7B / $10.2B deposits	Factual	Morpho blog
MEV Capital bad debt (3.5% ETH, 12% ARB)	Factual — Nov 2025	Protos, Binance Square, Chorus One
Vault addresses	Factual	Morpho app
Gauntlet zero bad debt, +35% TVL, $42.8M withdrawals	Factual — Nov 2025	Gauntlet market report
Application of Nov case to Oct scenario	Assumed	Same failure modes
sdeUSD/USDC market LLTV 86–90%	Estimated	Typical aggressive stablecoin params

ROOT CAUSE CHAIN

1. **Competitive curator pressure** (320 vaults) → MEV Capital accepted sdeUSD as collateral for higher yields → attracted TVL
2. **Oracle assumed peg** → hardcoded or near-1:1 pricing → no mechanism to react to catastrophic depeg
3. **Elixir retired deUSD** → sdeUSD lost 99.8% of value → collateral worthless
4. **Liquidation impossible** → no rational liquidator repays USDC to seize worthless sdeUSD → entire position = unrecoverable bad debt
5. **Stream Finance xUSD depegged 95%** → additional ~$700K bad debt in separate market

COMPARATIVE CURATOR PERFORMANCE

CURATOR	BAD DEBT	TVL CHANGE	WITHDRAWAL PROCESSING	RECOVERY
MEV Capital	3.5% (ETH) / 12% (ARB)	Severe outflows	Blocked (100% util)	Ongoing
Gauntlet	0%	+35% (flight-to-quality)	$42.8M in 2 days	6 hours
Steakhouse	0%	Stable	Normal	N/A

APPENDIX B

Opportunistic Analysis (Task B)

B.1 — Profit Opportunity Matrix

#	PLAY	EDGE	SIZING	ENTRY	EST. P&L	KILL CONDITION
1	**Liquidation sniping**	Gas thins competition 80%+	$200K–1M	21:15–22:00	$15–75K/pos	Other searchers; oracle staleness
2	**Vault share discount**	3.5% haircut + 5–10% panic	$100–500K	Hours post	$5–50K	Additional bad debt; util lock
3	**IRM rate farming**	190%+ APR in healthy markets	$200K–1M	Within hours	$5–30K/wk	Insolvency; fast compression
4	**CEX-DEX arb (USDe)**	$0.65 vs $1.00 = 35% spread	$500K+	21:30–23:00	$100–350K	DEX liquidity; arb closed
5	**Flight-to-quality**	Gauntlet +35% TVL inflows	$500K–2M	During blow-up	$25–80K ann.	Gauntlet also hit

B.2 — MEV Capital Bad Debt Specific Exploitation

VECTOR	VIABILITY	MECHANISM
Buy vault shares at discount	✅High	Post-haircut NAV $0.965; panic price $0.90–0.95. Buy, wait for convergence.
ERC-4626 secondary market arb	✅High	Buy on DEX at $0.90 + redeem on-chain at $0.965 = 7.2% arb.
Short MORPHO token	✅Medium	Protocol reputation hit → token sells off. Short via perps, cover at stabilisation.
Liquidate remaining sdeUSD	❌None	Collateral worthless. No rational liquidator acts.
Supply to healthy vault markets	⚠️Medium	If not fully isolated, elevated rates. May be blocked.

B.3 — Adversarial Lens (Hawk → Rhino)

Covered in full in Deliverable 2. The five vectors: oracle heartbeat sniping, vault share secondary market exploitation, curator weekend latency, cross-vault correlation analysis, and IRM rate capture. Only the first three require active defence. IRM exploitation is protocol-aligned. Cross-vault correlation is a transparency issue, not a technical one.

APPENDIX C

Actions (Task C)

C.1 — Incident Timeline

First 15 Minutes — 21:15–21:30 UTC

Rhino

Automated alerts fire across all monitored markets. Pull real-time dashboard: utilisation rates, health factors, oracle prices. Identify which markets have positions within 5% of LLTV. Determine scope: broad market event or vault-specific? If utilisation spiking across multiple markets, initiate emergency cap reductions on volatile collateral markets. Do NOT communicate publicly — need facts first. Ping the guardian and co-curators.

Hawk

Gas tracker up. 500 gwei = retail bots offline. Scan all Morpho Blue markets for positions with HF <1.02. Prepare Flashbots bundles for largest liquidation opportunities. Check CEX-DEX spreads — any >2% = arb opportunity. Deploy stablecoin dry powder to hot wallet. Begin monitoring vault share prices for emerging discounts.

First 60 Minutes — 21:15–22:15 UTC

Rhino

Bad debt confirmed in sdeUSD/USDC market. Quantify damage: absolute amount, % of vault TVL. **Actions:** Remove sdeUSD/USDC from allocation queue immediately. Reduce supply caps on all non-blue-chip collateral markets. Draft depositor communication: "3.5% bad debt identified. Vault isolated. All other positions healthy. Full update within 24 hours." Post to Telegram/Discord. **Decision:** Do not inject assets at 3.5% — socialise as designed. Begin reallocation toward WETH/USDC, WBTC/USDC.

Hawk

Liquidations executed across 3–5 profitable positions. CEX-DEX arb running on USDe spread. **Key move:** Monitor MEV Capital vault share price — when 3.5% bad debt hits and panic sellers dump, accumulate if discount exceeds 6%. Supply USDC into 2–3 stressed healthy Morpho Blue markets at >100% APR. Deposit $500K into Gauntlet USDC Balanced for flight-to-quality wave.

First 24 Hours

Rhino

Full bad debt accounting across all exposed markets. Check utilisation — if IRM pushed rates to 190%, borrowers should be repaying. Verify no additional markets developing bad debt (contagion check). Publish internal post-mortem draft. Engage Morpho core team. Begin governance proposal planning for parameter changes.

Hawk

P&L accounting across all positions. Start unwinding crisis-dependent plays. If vault shares recovered to <2% discount, take profit. Continue rate farming if APR still elevated. Begin researching which other curators have similar exotic stablecoin exposure — position for next blow-up.

C.2 — Two-Week Follow-Up

RHINO WATCHLIST

ITEM	MONITOR	THRESHOLD
Vault TVL recovery	Net inflows/outflows daily	No stabilisation by Day 7 → restructure
Utilisation normalisation	Per-market rates returning to 60–80%	Still >90% after 1 week → zombified borrowers
Oracle health	Freshness and accuracy across all markets	>30s staleness → review
Depositor migration	Returning or moved to Gauntlet/Steakhouse?	Outflows >10 days → vault may not recover
Borrower behaviour	Repayments vs rollovers; new borrows	New borrows = confidence returning
Governance	Morpho forum proposals for oracle/LLTV changes	Participate actively

HAWK WATCHLIST

ITEM	MONITOR	ACTION TRIGGER
Vault share convergence	Discount-to-NAV on held shares	Exit at <1% discount
Rate normalisation	APR on stressed markets vs baseline	Withdraw when APR <2× normal
Next target	Scan 320 vaults for exotic exposure	Position before next blow-up
MORPHO token	Price trajectory post-reputation hit	Cover shorts; go long if oversold
New vault launches	Post-crisis vaults, tighter parameters	Early deposits = outsized yields

C.3 — Bad Debt Handling Recommendations

Rhino — Defence

Immediate containment: Isolate affected market (remove from supply queue). Cap all non-blue-chip markets to current exposure. Communicate within 60 minutes — facts and numbers, not platitudes.

Do not inject assets at 3.5% of TVL. Too expensive, sets moral hazard precedent, and the socialisation mechanism exists for exactly this scenario. If bad debt were <1%, injection would make sense to preserve depositor trust.

Loss mechanics: `totalSupplyAssets -= badDebtAssets`. Share price drops 3.5% (ETH) / 12% (ARB) instantly. Each depositor's loss is proportional to their share of the affected market's supply. Vault-level impact = allocation % to bad market × bad debt % in that market.

Recovery path: Liquidate residual sdeUSD collateral (even 0.2% recovery > 0). Pursue Elixir creditor resolution. Publish post-mortem with parameter changes: max LLTV 90%→80% for stablecoin pairs; multi-oracle requirement for non-top-10 stablecoins; circuit breaker auto-pausing at >10% depeg. Resume deposits once all risky markets removed. Rebuild through transparency.

Hawk — Extraction

Buy the 5–15% vault share discount. Rate farm the IRM spike. Position for the next curator blow-up by scanning vault allocations for correlated exotic-stablecoin risk. If you have liquidation infrastructure, market the service — this event proved bot coverage is structurally insufficient at scale.

Sources

#	SOURCE	URL
1	Amberdata — $3.21B Vanished in 60 Seconds	link
2	FTI Consulting — Leverage Met Liquidity	link
3	Insights4VC — Inside the $19B Flash Crash	link
4	CoinGecko — October 10 Crash Explained	link
5	Fortune — Crypto Flash Crash Stress Test	link
6	Morpho Docs — Liquidation & Bad Debt	link
7	Morpho Docs — Curator Bad Debt Handling	link
8	Morpho Blog — October 2025 Effect	link
9	Gauntlet — Nov 2025 Liquidity Stress Report	link
10	Chorus One — DeFi Curators 2025	link
11	Protos — Moonwell Oracle Blowup	link
12	Binance Square — MEV Capital Vault	link
13	Morpho Blue Source — Morpho.sol	link
14	Morpho Blue Contract — Etherscan	link